

The Supreme Court has upheld the supremacy of the sovereign. The verdict has triggered posers on the role of the state and what it means for investors.

reiterated the right of the Government to price the gas and held that this would apply to all supplies under the psc.

There is no disputing the fact that all contracts within the sovereign have to comply with the laws of the land. But it is inescapable that the verdict establishes a new basis for decision-making in future investments. Some are already asking whether

future public-private partnership (PPP) projects in minerals and coal could be subject to midcourse interventions by state Governments or even by the Centre. Can the Government move back to change the rules of engagement in mega buck projects like pit-head power plants?

It is a moot point as to what this means for investors participating in joint ventures with governments. The logic of inviting private companies to invest in risky high-value ventures requiring billions in capital is that the state doesn't have the resources to bring home these benefits to the citizens. The most successful PPP model has been telecom where spectrum is allotted at a price to enable nationwide tele-density. Would this have been

possible under administered pricing?

The basic tenet of capitalism rests on economic freedom—to produce and sell at market determined rates. While there is no arguing with the merit of the judgement, it is critical to assess the role of the state in an economy that was supposedly set free in 1991. If the Government continues to control ownership, production, pricing and marketing of produce, what story about India will the persuaders sell to foreign investors? It is entirely arguable that the low turnout of foreign investors in the last round of bids invited for oil exploration could have been more a result of confused policy on allocation of production and sharing of profits.

As India moves back on to the 9-plus per cent GDP growth trajectory, energy requirements will spiral. So will the need for investments and more so in newer areas like coal-bed methane, offshore deep sea oil exploration or shale gas. The resources for these and other infrastructure projects will be a combination of domestic and foreign savings. India needs to convince domestic and foreign investors that there will be stability in the policy, maintainability of the formula and consequently the viability of business models.

Over three decades ago, the inimitable Margaret Thatcher memorably said, "Government has no business to be in business". Governments cannot afford to be petitioner, prosecutor and judge in the new economy. This verdict, while establishing the Government as the big brother, also puts on it the responsibility to act like one. It is incumbent on the Government to create, not just the ecosystem for growth, but also the regulatory environment to enable fair play. Economic reforms are not just about tax concessions, incentives and subsidies. It is about freeing the entrepreneurial spirit of the individual to spur the economy for greater common good. ■

THE SUPREME COURT SAID...

SUITABLE ARRANGEMENT

Suitable Arrangement under Clause 19 of the scheme must not be merely suitable for RIL alone. In other words, it has a broader meaning. Such an arrangement must be suitable for the interest of shareholders of RNRL as reflected by MOU and RIL, the obligations of RIL under the psc, the National Policy of Gas including the decisions of EGOM and Gas Utilisation Policy (GUP) and the broader national and public interest.

DIRECTION TO RENEGOTIATE

We, accordingly, direct the parties to renegotiate as to the suitable arrangements for supply of gas dehors the MOU. Such renegotiations shall be within the framework of governmental policy and approvals regarding price, quantity and tenure for supply of gas. The renegotiations shall commence within eight weeks from today at the initiative of RIL and shall be completed within a period of six weeks from the day of commencement of negotiations.

ROAD AHEAD FOR FUTURE POLICY

We consider it appropriate to observe and remind the govt that it is high time it frames a comprehensive policy/suitable legislation with regard to energy security of India and supply of natural gas under production-sharing contracts.



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